A

TECHNICAL SEMINAR REPORT

On

ANOMALY DETECTION USING AUTOENCODERS

Submitted in Partial Fulfilment to Osmania University for the award of the Degree of

Bachelor of Engineering

In

COMPUTER SCIENCE AND ENGINEERING (AIML)

By

M. A. OMER **160922748048**

Under the Esteemed Supervision of

Mrs. Neha Shireen

(Assistant Professor)

DEPARTMENT OF COMPUTER SCIENCE AND ENGINEERING (AIML)

LORDS INSTITUTE OF ENGINEERING AND TECHNOLOGY

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CERTIFICATE

This is to certify that Technical Seminar Report entitled **"Anomaly Detection using Autoencoders"** is a Bonafide record of the work successfully completed and submitted by

M.A.OMER **160922748048**

Under the Supervision of **Mrs. Neha Shireen , Assistant Professor,** Department of **Computer Science Engineering (AIML)** for the requirement of partial fulfilment for the award of degree of Bachelors of **Department of Computer Science Engineering (AIML)** during the academic year **2025 – 2026** from the Lords Institute of Engineering and Technology, Hyderabad.

Mrs. Neha Shireen
Internal Guide

DR. ABDUL RASOOL MD
Head of Department

DECLARATION

I hereby declare that Technical Seminar Report entitled **Anomaly Detection Using Autoencoders** is being submitted by me in the partial fulfilment to Osmania University for the award of Bachelor of Engineering in the Department of Computer Science Engineering (AIML) at the Lords Institute of Engineering and Technology, Telangana- 500091, is the result of investigations carried out by me under the Guidance of **Mrs. Neha Shireen, Assistant Professor ,** Department of Computer Science Engineering (AIML), Lords Institute of Engineering and Technology.

This work is original and has not been submitted for any Degree or Diploma for this or any other university.

M. A. OMER **160922748048**

ACKNOWLEDGMENT

In the name of almighty, the most beneficent and the most merciful, I thank the lord for helping me in all the stages of this work.

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I express my gratitude to all the other faculty members of **Computer Science Engineering (AIML)** who helped me in learning, implementing and seminar execution.

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DM2: To bring along scholars and students in a interdisciplinary setting to carry on making substantial advances in expanding the potential of a machine or human-machine systems that can handle challenging higher cognitive functions.

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S. No.	Program Outcomes (POs)
1.	**PO1: Engineering Knowledge:** Apply knowledge of mathematics, natural science, computing, engineering fundamentals and an engineering specialization as specified in WK1 to WK4 respectively to develop to the solution of complex engineering problems.
2.	**PO2: Problem Analysis:** Identify, formulate, review research literature and analyze complex engineering problems reaching substantiated conclusions with consideration for sustainable development. (WK1 to WK4)
3.	**PO3: Design/Development of Solutions:** Design creative solutions for complex engineering problems and design/develop systems/components/processes to meet identified needs with consideration for the public health and safety, whole-life cost, net zero carbon, culture, society and environment as required. (WK5)
4.	**PO4: Conduct Investigations of Complex Problems:** Conduct investigations of complex engineering problems using research-based knowledge including design of experiments, modelling, analysis and interpretation of data to provide valid conclusions. (WK8).
5.	**PO5: Engineering Tool Usage:** Create, select and apply appropriate techniques, resources and modern engineering and IT tools, including prediction and modelling recognizing their limitations to solve complex engineering problems. (WK2 and WK6)
6.	**PO6: The Engineer and The World:** Analyze and evaluate societal and environmental aspects while solving complex engineering problems for its impact on sustainability with reference to economy, health, safety, legal framework, culture and environment. (WK1, WK5, and WK7).
7.	**PO7: Ethics:** Apply ethical principles and commit to professional ethics, human values, diversity and inclusion; adhere to national and international laws. (WK9)
8.	**PO8: Individual and Collaborative Team work:** Function effectively as an individual, and as a member or leader in diverse/multi-disciplinary teams.
9.	**PO9: Communication:** Communicate effectively and inclusively within the engineering community and society at large, such as being able to comprehend and write effective reports and design documentation, make effective presentations considering cultural, language, and learning differences.

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11.	**PO11:** Life-Long Learning: Recognize the need for, and have the preparation and ability for i) independent and life-long learning ii) adaptability to new and emerging technologies and iii) critical thinking in the broadest context of technological change. (WK8)

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Technical Seminar Assessment Process

Programme: UG	**Degree:** B.E (CSE-AIML)	
Course: Technical Seminar	**Sem:** VIII	**Credits:** 2
Course Code: U21CM8P1	**University:** Osmania University	
Contact Hours: 4 Hours/Week.	**CIE:** 100 Marks	

Course Outcomes: C85 - Technical Seminar

Student will be able to

S. No.	Description	Blooms Taxonomy Level
C85.1	Develop the habit of referring to journals while conducting a literature review.	**BTL-5**
C85.2	Understand the core idea and key contributions of the research paper.	**BTL-4**
C85.3	Identify the potential areas for further research and future scope.	**BTL-5**
C85.4	Present the work in a clear, structured, and efficient manner.	**BTL-4**
C85.5	Prepare the documentation following standard formatting guidelines.	**BTL-3**

Course Articulation Matrix:

Mapping of Course Outcomes (CO) with Program Outcomes (PO) and Program Specific Outcomes (PSO's):

Course Outcomes (CO)	Program Outcomes (PO)											Program Specific Outcomes (PSO's)	
	PO 1	PO 2	PO 3	PO 4	PO 5	PO 6	PO 7	PO 8	PO 9	PO 10	PO 11	PSO 1	PSO 2
C85.1	3	3	2	3	3	2	--	1	3	--	3	3	3
C85.2	3	3	3	3	3	2	--	1	3	1	3	2	2
C85.3	2	3	1	--	2	1	--	2	2	2	2	2	2
C85.4	--	--	--	3	3	1	--	--	2	--	--	1	2
C855	2	1	2	--	2	2	--	--	--	3	2	3	1
Average	**2**	**2**	**2**	**3**	**2.6**	**1.6**	**--**	**1.3**	**2.5**	**2**	**2.5**	**2.2**	**2**

Level:

1- Low correlation (Low), 2- Medium correlation (Medium), 3-High correlation (High)

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CHAPTER 1

INTRODUCTION

1.1 INTRODUCTION

Anomaly detection is a fundamental task in machine learning that involves identifying patterns in data that significantly deviate from normal behavior. Such unusual patterns, often referred to as anomalies or outliers, may indicate critical events such as system failures, fraudulent transactions, cyber-attacks, or medical abnormalities. With the rapid growth of digital technologies and data generation, detecting anomalies accurately has become essential for ensuring security, reliability, and efficiency in many real-world applications.

Traditional anomaly detection techniques based on statistical methods or rule-based systems often struggle with complex and high-dimensional data. These methods usually require labeled datasets and manual feature engineering, which may not always be feasible. As a result, machine learning and deep learning approaches have gained significant attention due to their ability to automatically learn patterns from data.

Autoencoders are a type of artificial neural network designed for unsupervised learning. They consist of two main components: an encoder, which compresses the input data into a lower-dimensional representation, and a decoder, which reconstructs the original input from this representation. When trained on normal data, autoencoders learn the underlying structure of that data.

During testing, anomalous inputs differ from normal patterns and therefore produce higher reconstruction errors. This reconstruction error can be used as an indicator to detect anomalies effectively. Autoencoder-based methods are particularly useful when labeled anomaly data is scarce or unavailable.

Autoencoder-based anomaly detection has been successfully applied in various fields, including financial fraud detection, network intrusion detection, industrial fault diagnosis, healthcare monitoring, and sensor data analysis. This seminar report aims to provide a comprehensive overview of anomaly detection using autoencoders, including its concepts, methodology, applications, advantages, and future scope.

1.2 BACKGROUND TO THE STUDY

Anomaly detection has been an active area of research for several decades due to its importance in identifying rare but significant events in data. Early approaches relied on statistical methods, distance-based techniques, and rule-based systems to detect deviations from normal patterns. While these methods work well for simple datasets, they often struggle with high-dimensional and complex data commonly found in modern applications.

With the advancement of machine learning, more sophisticated techniques such as clustering, classification, and probabilistic models have been developed for anomaly detection. However, many of these methods require labeled data, which is difficult to obtain because anomalies are rare and unpredictable.

Deep learning techniques, particularly autoencoders, have emerged as powerful tools for unsupervised anomaly detection. Autoencoders learn compact representations of normal data without requiring labeled anomalies. When anomalous data is encountered, it cannot be reconstructed accurately, resulting in higher reconstruction error. This property makes autoencoders highly effective for detecting abnormalities in complex datasets.

Recent research has focused on improving autoencoder architectures, including deep autoencoders, variational autoencoders, sparse autoencoders, and memory-augmented autoencoders. These models have demonstrated strong performance across various domains such as cybersecurity, healthcare, finance, and industrial monitoring.

1.3 SCOPE OF THE RESEARCH

- The research focuses on anomaly detection using autoencoder-based deep learning techniques.
- It explores unsupervised learning methods that can identify abnormal patterns without requiring labelled anomaly data.
- The study examines the architecture and working principles of autoencoders, including encoding, decoding, and reconstruction processes.
- It evaluates how reconstruction error can be used as a metric to distinguish normal data from anomalous data.

- The framework is applicable to various types of datasets, including network traffic, financial records, sensor data, and medical data.
- Performance is analyzed using evaluation metrics such as accuracy, precision, recall, and F1-score.
- Comparative analysis may be conducted with traditional anomaly detection techniques.
- The research highlights real-world applications including fraud detection, intrusion detection, predictive maintenance, and healthcare monitoring.
- Limitations and future improvements of autoencoder-based methods are also considered.

1.4 LIMITATIONS OF THE RESEARCH

- Autoencoder-based methods rely heavily on the quality and quantity of normal training data.
- If the training data contains hidden anomalies, the model may learn incorrect patterns and reduce detection accuracy.
- Autoencoders may struggle to detect anomalies that are very similar to normal data.
- Selection of an appropriate reconstruction error threshold can be challenging and may affect performance.
- High-dimensional datasets may require deep architectures, leading to increased computational cost.
- Overfitting can occur if the model becomes too specialized to the training data.
- Performance may degrade when data distribution changes over time (concept drift).
- The method may not perform well for real-time detection without sufficient computational resources.
- Interpretability of deep learning models is limited, making it difficult to explain why a data point is classified as anomalous.

1.5 TYPES OF ANOMALIES

Anomalies can appear in different forms depending on the structure of the data and the context of the application. Understanding these types is important for designing effective detection systems.

1.5.1 Point Anomalies

A point anomaly occurs when an individual data instance significantly deviates from the rest of the dataset. It is the simplest form of anomaly.

Example:
A sudden spike in CPU usage from 20% to 95% may indicate abnormal activity.

Point anomalies are common in:

- Sensor data monitoring
- Fraud detection
- Network intrusion detection
- Industrial systems

Autoencoders detect point anomalies when reconstruction error for individual samples becomes unusually high.

1.5.2 Contextual Anomalies

Contextual anomalies depend on the surrounding context of the data.

A value that is normal in one context may be abnormal in another.

Example:

- High temperature is normal in summer
- The same temperature is abnormal in winter

Applications:

- Climate monitoring
- Energy consumption analysis
- Time-series data

Autoencoders can model contextual patterns using sequential or time-based inputs.

1.5.3 Collective Anomalies

A collective anomaly occurs when a group of related data points behaves abnormally, even if individual points appear normal.

Example:

- Gradual increase in vibration levels in machinery
- Sequence of suspicious login attempts

These anomalies are important in:

- Network security
- Industrial maintenance
- Behavioral analysis

Detecting collective anomalies often requires models capable of learning relationships across data points.

1.6 CHALLENGES IN ANOMALY DETECTION

Anomaly detection presents several technical challenges, especially in real-world applications.

1.6.1 Imbalanced Data Distribution

Anomalies are rare compared to normal data, making traditional supervised learning difficult.

Autoencoders address this by learning only normal patterns.

1.6.2 High-Dimensional Data

Modern datasets may contain hundreds or thousands of features.

High dimensionality can lead to:

- Curse of dimensionality
- Overfitting
- Increased computational cost

Deep autoencoders reduce dimensionality through latent representations.

1.6.3 Lack of Labeled Data

Labelling anomalies requires domain expertise and is often impractical.

Unsupervised methods like autoencoders eliminate the need for labeled anomalies.

1.6.4 Concept Drift

Data patterns may change over time.

Example:

- Network behavior evolves
- User habits change
- Industrial processes vary

Models must adapt to maintain performance.

1.6.5 Noise in Data

Real-world data contains noise, missing values, and measurement errors.

An effective anomaly detection system must distinguish noise from true anomalies.

1.7 SIGNIFICANCE OF AUTOENCODER-BASED METHODS

Autoencoder-based anomaly detection has gained popularity due to several advantages over traditional methods.

Key reasons for its effectiveness:

- Unsupervised learning capability
- Ability to model nonlinear relationships
- Scalability to large datasets
- Adaptability to various data types
- Automatic feature extraction

Autoencoders learn compressed representations that capture the intrinsic structure of normal data, enabling reliable detection of deviations.

CHAPTER 2

LITERATURE SURVEY

1. TITLE: Memorizing Normality to Detect Anomaly: Memory-Augmented Deep Autoencoder for Unsupervised Anomaly Detection

AUTHOR: Dong Gong, Lingqiao Liu, Vuong Le, Budhaditya Saha, Mousam Reed

ABSTRACT: The paper "*Memorizing Normality to Detect Anomaly: Memory-Augmented Deep Autoencoder for Unsupervised Anomaly Detection*" proposes a novel deep learning approach that enhances traditional autoencoders using an external memory module. The primary objective of this work is to improve anomaly detection accuracy by preventing the model from reconstructing anomalous inputs too well. Conventional autoencoders sometimes learn to reconstruct both normal and abnormal data, which reduces detection effectiveness.

The proposed Memory-Augmented Autoencoder (MemAE) stores representative patterns of normal data in a memory bank during training. During testing, the decoder reconstructs inputs using only these stored normal patterns. As a result, anomalous inputs cannot be accurately reconstructed and produce higher reconstruction errors, enabling reliable anomaly detection.

The architecture consists of an encoder, a memory module, and a decoder. The encoder compresses input data into latent features, which are matched with memory items representing normal patterns. The decoder reconstructs the input based on the retrieved memory content. This mechanism ensures that only normal features are preserved during reconstruction.

Experimental results demonstrate that MemAE significantly improves detection performance compared to standard autoencoders across multiple datasets. The method reduces false positives while maintaining high detection accuracy, making it suitable for applications such as industrial inspection, video surveillance, and cybersecurity.

Additionally, Memory-Augmented Autoencoder (MemAE) architecture enhances traditional autoencoders by incorporating an external memory module that stores representative patterns of normal data. During training, the model learns compact latent features using the encoder and updates the memory with prototypes corresponding to normal behavior. This allows the system to capture essential characteristics of normal data while avoiding overgeneralization.

During inference, input data is encoded into latent features and matched against the stored memory items. The decoder reconstructs the input using only the retrieved normal patterns from memory. Since anomalous inputs do not correspond well to the stored representations, they cannot be reconstructed accurately and therefore produce significantly higher reconstruction errors. These errors serve as a reliable indicator for detecting anomalies.

In summary, the paper "Memorizing Normality to Detect Anomaly: Memory-Augmented Deep Autoencoder for Unsupervised Anomaly Detection" presents an improved autoencoder framework designed specifically for reliable anomaly detection. By incorporating an external memory module that stores representative patterns of normal data, the proposed MemAE model prevents the reconstruction of abnormal inputs and significantly enhances detection accuracy. The architecture ensures that only normal features are used during reconstruction, resulting in higher reconstruction errors for anomalous data. Experimental results demonstrate that MemAE outperforms conventional autoencoder methods by reducing false positives while maintaining strong detection performance across multiple datasets. Overall, the study establishes memory-augmented autoencoders as an effective and robust solution for unsupervised anomaly detection, particularly in complex, high-dimensional environments where traditional approaches may fail.

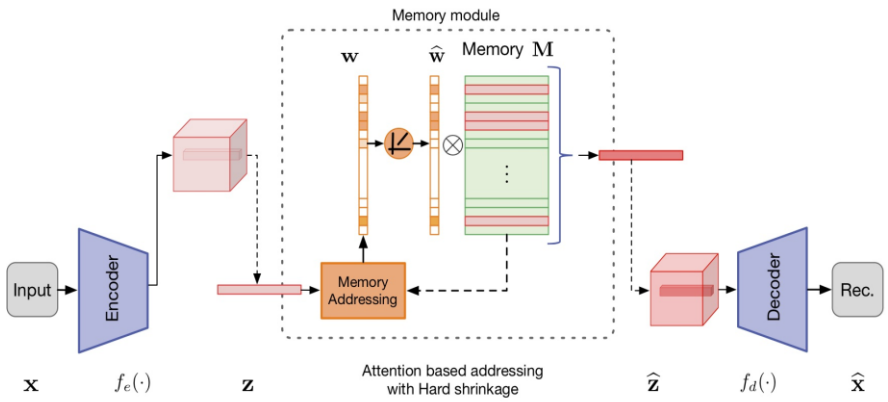

Figure 2.1: Memory-Augmented Autoencoder Architecture

2. TITLE: Variational Autoencoder for Anomaly Detection: A Comparative Study

AUTHOR(S): Huy Hoang Nguyen , Cuong Nhat Nguyen, Xuan Tung Dao, Quoc Trung Duong, Dzung Pham Thi Kim,Minh-Tan Pham

ABSTRACT: The research paper "*Variational Autoencoder for Anomaly Detection: A Comparative Study*" investigates the effectiveness of Variational Autoencoders (VAEs) for detecting anomalies in complex datasets. Variational Autoencoders are probabilistic generative models that learn the underlying distribution of normal data and can identify abnormal patterns based on deviations from this learned distribution.

Unlike traditional autoencoders that rely solely on reconstruction error, VAEs introduce a probabilistic latent space that captures the uncertainty and variability of data. During training, the model learns to encode input data into a distribution rather than a fixed vector, enabling better generalization and robustness. When anomalous data is presented, it deviates from the learned distribution, resulting in higher reconstruction errors or low likelihood scores.

The study compares VAE-based anomaly detection with conventional autoencoder methods across different datasets. Experimental results indicate that VAEs provide improved detection performance, especially in scenarios involving complex and high-dimensional data. The probabilistic nature of VAEs allows them to capture subtle deviations more effectively than deterministic models. Additionally, the paper discusses various evaluation metrics such as precision, recall, and F1-score to measure detection accuracy. The findings suggest that VAEs are particularly suitable for unsupervised anomaly detection tasks where labeled abnormal data is limited or unavailable.

Variational Autoencoders model the probability distribution of normal data in a structured latent space, allowing them to distinguish between normal and abnormal patterns more effectively than traditional reconstruction-based methods. By learning both the mean and variance of latent representations, the model captures uncertainty and variability within the dataset.

During testing, anomalous inputs produce low likelihood scores or high reconstruction errors because they do not conform to the learned distribution. This makes VAEs particularly useful for detecting subtle anomalies in high-dimensional and complex datasets.

In conclusion, Variational Autoencoders (VAEs) provide an advanced approach for anomaly detection by learning the probability distribution of normal data within a structured latent space. Unlike traditional autoencoders that rely only on reconstruction error, VAEs capture both the mean and variance of latent representations, enabling them to model uncertainty and variability more effectively. When anomalous inputs are introduced, they deviate from the learned distribution, resulting in higher reconstruction errors or lower likelihood scores. This makes VAEs particularly suitable for detecting subtle anomalies in complex and high-dimensional datasets. The results demonstrate that VAE-based methods offer improved robustness and generalization compared to conventional techniques. Their probabilistic framework allows them to handle noisy data and unseen variations more effectively, making them valuable for real-world applications such as cybersecurity, healthcare monitoring, and industrial fault detection. Overall, Variational Autoencoders represent a powerful and flexible solution for unsupervised anomaly detection.

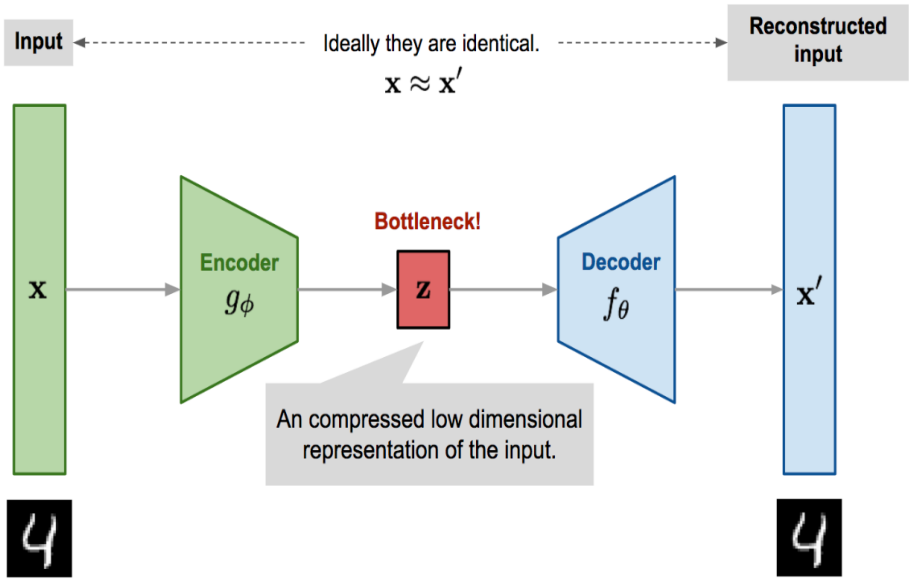

Figure 2.2 : Variational Autoencoder Architecture for Anomaly Detection

3. TITLE: Autoencoder-Based Neural Network Model for Anomaly Detection in Wireless Body Area Networks

AUTHOR(S): Murad A. Rassam ,Danijar Hafner, Timothy Lillicrap, Mohammad Norouzi

ABSTRACT: The research paper "*Autoencoder-Based Neural Network Model for Anomaly Detection in Wireless Body Area Networks*" proposes a deep learning approach for detecting abnormal behavior in medical sensor networks. Wireless Body Area Networks (WBANs) consist of wearable or implantable sensors that continuously monitor physiological parameters such as heart rate, body temperature, and blood pressure. Ensuring the reliability and security of these systems is critical, as anomalies may indicate device malfunction, communication errors, or medical emergencies.

The proposed method uses an autoencoder neural network trained on normal physiological data to learn the underlying patterns of sensor readings. During operation, incoming data is reconstructed by the trained model, and deviations from normal patterns are identified using reconstruction error. If the reconstruction error exceeds a predefined threshold, the data point is classified as anomalous.

Unlike traditional rule-based or statistical methods, the autoencoder can automatically learn complex nonlinear relationships among multiple sensor signals. This capability improves detection accuracy and reduces false alarms. The model operates in an unsupervised manner, making it suitable for real-world healthcare applications where labeled abnormal data is scarce.

Experimental results demonstrate that the proposed approach effectively detects abnormal conditions while maintaining low computational complexity. The system can be deployed in real-time monitoring environments, providing early warning for potential health risks or system failures.

In summary, the autoencoder-based model provides an efficient solution for anomaly detection in Wireless Body Area Networks by learning normal physiological patterns directly from sensor data. Since the model is trained only on normal behavior, any deviation during operation results in a high reconstruction error, enabling reliable detection of abnormal events.

The approach is particularly advantageous for healthcare systems because it does not require labeled abnormal data and can adapt to complex multivariate sensor signals. Additionally, the lightweight architecture allows deployment on resource-constrained devices, making it suitable for continuous real-time monitoring.

Overall, the study demonstrates that deep autoencoder models can significantly enhance the safety, reliability, and efficiency of WBAN systems by enabling early detection of faults and abnormal physiological conditions.

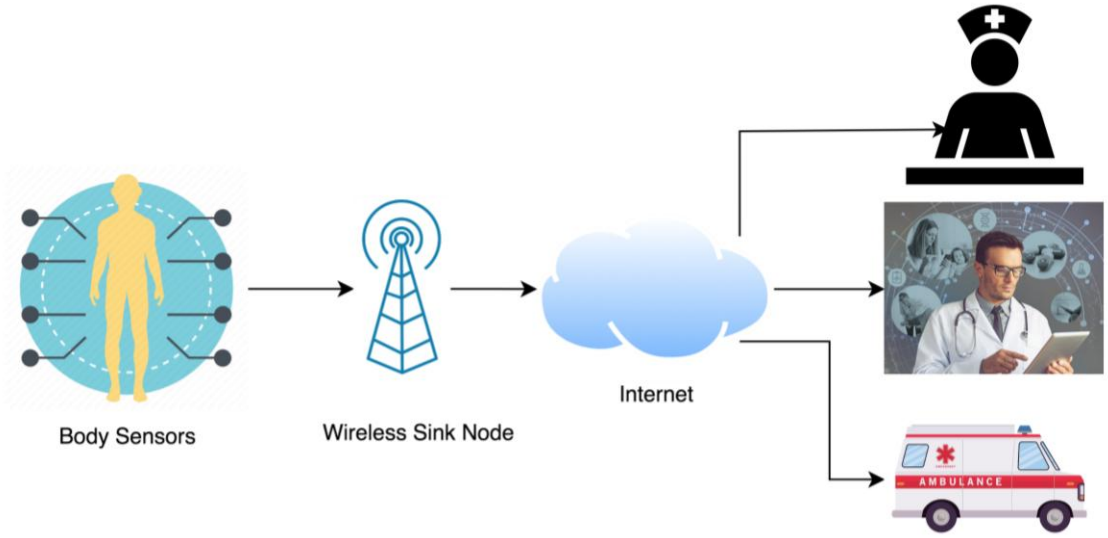

Figure 2.3 : Autoencoder-Based Anomaly Detection Model for Wireless Body Area Networks

4. TITLE: Trust Management for Deep Autoencoder-Based Anomaly Detection in Social Internet of Things

AUTHOR(S): Rashmi M, C Vidya Raj

ABSTRACT: The research paper "*Trust Management for Deep Autoencoder-Based Anomaly Detection in Social Internet of Things*" presents a deep learning approach to enhance security and reliability in Social IoT environments. Social IoT systems consist of interconnected smart devices that interact autonomously and share data over networks. Ensuring trustworthy communication among devices is critical, as malicious behavior or compromised nodes can lead to system failures and privacy risks.

The proposed method utilizes a deep autoencoder model to learn normal interaction patterns among IoT devices. By training the model on legitimate network behavior, it becomes capable of reconstructing expected communication patterns. Any deviation from these learned patterns results in higher reconstruction error, which is used to identify suspicious or anomalous activity. In addition to anomaly detection, the paper introduces a trust management mechanism that evaluates the reliability of devices based on their behavior over time. Devices exhibiting abnormal communication patterns receive lower trust scores, allowing the system to isolate or restrict potentially malicious nodes.

Compared to conventional rule-based security approaches, the deep autoencoder can capture complex nonlinear relationships in network traffic and adapt to dynamic environments. Experimental results demonstrate improved detection accuracy, reduced false alarms, and enhanced overall system security.

In summary, the proposed framework integrates deep autoencoder-based anomaly detection with a trust management system to enhance security in Social IoT networks. By continuously monitoring device interactions and evaluating reconstruction errors, the system can detect malicious activities, faulty devices, or abnormal communication patterns in real time.

The trust evaluation mechanism further strengthens the system by assigning dynamic trust scores to devices, enabling adaptive security responses. This approach helps prevent the spread of malicious behavior and ensures reliable communication among connected devices.

Overall, the study demonstrates that combining deep learning with trust management provides a robust solution for safeguarding large-scale IoT ecosystems against cyber threats and system anomalies.

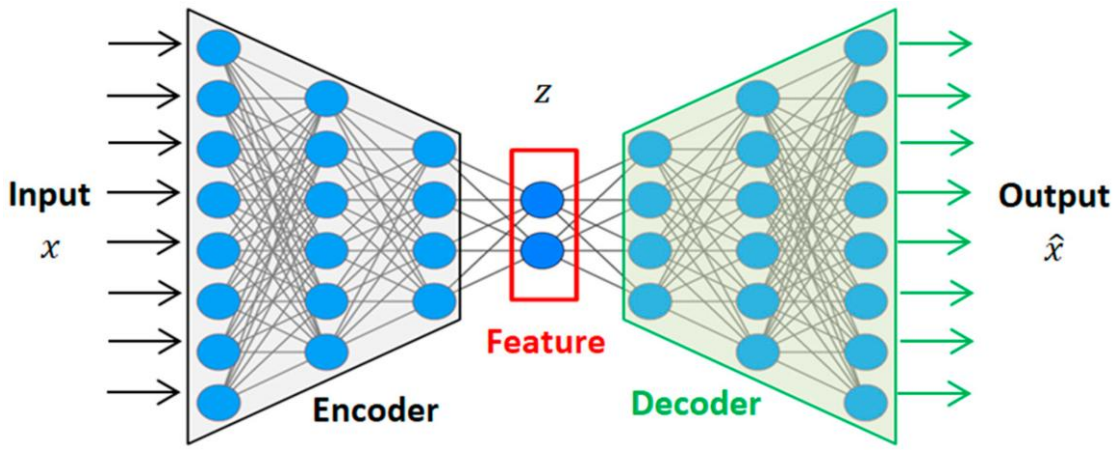

Figure 2.4: Deep Autoencoder-Based Anomaly Detection Model

5. TITLE: Deep Learning Approach to Anomaly Detection in Enterprise ETL Processes with Autoencoders

AUTHOR(S): Kangning Gao, Xin Chen, Yi Hu, Saili Uday Gadgil , Cong Nie

ABSTRACT: The research paper "*Deep Learning Approach to Anomaly Detection in Enterprise ETL Processes with Autoencoders*" presents a deep learning-based method for identifying anomalies in large-scale enterprise data pipelines. ETL (Extract, Transform, Load) processes are critical components of data warehousing systems, responsible for collecting, transforming, and storing data from multiple sources. Failures or irregularities in these processes can lead to incorrect analytics, system downtime, or data loss.

The proposed approach uses autoencoder neural networks trained on normal operational data to learn typical patterns of ETL workflow behavior. By compressing input features into a lower-dimensional representation and reconstructing them, the model captures complex dependencies

within the data. During monitoring, abnormal events produce higher reconstruction errors, allowing the system to detect anomalies automatically.

Unlike traditional monitoring techniques that rely on predefined rules or thresholds, the deep learning model adapts to evolving system behavior and can identify subtle deviations that may otherwise go unnoticed. The unsupervised nature of the approach eliminates the need for labeled failure data, which is often difficult to obtain in enterprise environments.

Experimental evaluations demonstrate that the autoencoder-based system effectively detects performance issues, data inconsistencies, and unexpected workflow disruptions. The method improves reliability and reduces manual monitoring effort, making it suitable for real-time enterprise applications.

In conclusion, the study demonstrates that deep autoencoder-based models provide an effective and scalable solution for anomaly detection in enterprise ETL (Extract, Transform, Load) processes. By learning the normal operational behavior of data pipelines, the autoencoder can automatically identify deviations caused by system faults, performance degradation, data inconsistencies, or unexpected workflow disruptions. This capability is crucial for maintaining the reliability and accuracy of enterprise data systems.

Unlike traditional monitoring approaches that depend on manually defined rules and thresholds, the proposed deep learning method adapts to complex and dynamic environments. It captures nonlinear relationships among multiple process variables and detects subtle anomalies that may not be visible through conventional techniques. Furthermore, the unsupervised learning nature of autoencoders eliminates the need for labeled anomaly data, which is often scarce or unavailable in real-world enterprise settings.

The experimental results highlight the model's ability to provide early detection of failures, thereby reducing system downtime and preventing the propagation of incorrect data across downstream analytics platforms. This contributes to improved data quality, operational efficiency, and decision-making reliability within organizations.

Overall, the research confirms that deep autoencoder-based anomaly detection is a robust and intelligent approach for monitoring large-scale ETL systems. Its ability to operate in real time, handle high-dimensional data, and adapt to evolving workloads makes it a valuable tool for modern data-driven enterprises. The study suggests that integrating such deep learning solutions into enterprise monitoring frameworks can significantly enhance system stability, security, and performance.

Autoencoder-based methods have become one of the most widely used deep learning approaches for unsupervised anomaly detection. These models learn to reconstruct normal data patterns and identify anomalies based on reconstruction errors.

Early studies demonstrated that deep autoencoders outperform traditional statistical methods when dealing with high-dimensional data. By compressing input features into a lower-dimensional latent space, autoencoders capture essential characteristics of normal behavior.

Research has shown successful application of autoencoders in:

- Network intrusion detection
- Fraud detection
- Medical diagnosis
- Industrial monitoring
- Time-series forecasting

Advanced architectures such as stacked autoencoders further improve representation learning by using multiple encoding layers.

2.1VARIATIONAL AUTOENCODERS (VAE) IN ANOMALY DETECTION

Variational Autoencoders introduce probabilistic modeling into the autoencoder framework. Instead of learning deterministic latent representations, VAEs learn probability distributions.

Advantages of VAEs:

- Capture uncertainty in data
- Model complex distributions
- Generate synthetic samples
- Detect subtle anomalies

VAEs are particularly useful in:

- Medical imaging
- Sensor data analysis
- Financial anomaly detection

Anomalies are detected when data points have low likelihood under the learned distribution.

2.2 DENOISING AUTOENCODERS

Denoising Autoencoders are trained to reconstruct original data from noisy inputs. This forces the model to learn robust features rather than memorizing data.

Benefits:

- Improved generalization
- Resistance to noise
- Better anomaly discrimination

These models are widely used in real-world applications where data corruption is common.

2.3 SPARSE AUTOENCODERS

Sparse Autoencoders impose constraints that force most neurons to remain inactive, encouraging the model to learn meaningful representations.

Key advantages:

- Prevents overfitting
- Enhances feature extraction
- Improves anomaly sensitivity

Sparse representations help highlight unusual patterns more clearly.

2.3 COMPARISON WITH TRADITIONAL METHODS

Traditional anomaly detection methods include:

Statistical Methods

- Gaussian models
- Threshold-based detection

Limitations:

- Assume specific data distributions
- Poor performance on nonlinear data

Distance-Based Methods

- k-Nearest Neighbors
- Clustering approaches

Limitations:

- Computationally expensive
- Sensitive to dimensionality

Machine Learning Methods

- One-Class SVM
- Isolation Forest

Limitations:

- Require careful feature engineering
- Limited scalability

Deep Learning Advantages

Autoencoder-based methods outperform traditional techniques because they:

✓ Learn features automatically
✓ Handle nonlinear relationships
✓ Scale to large datasets
✓ Require no labeled anomalies

2.4 RECENT TRENDS IN ANOMALY DETECTION

Recent research focuses on improving detection accuracy and real-world applicability.

Emerging directions include:

- Hybrid models combining autoencoders with other deep learning techniques
- Real-time anomaly detection systems
- Edge computing implementations
- Explainable anomaly detection
- Adaptive models for concept drift

These advancements aim to make anomaly detection systems more reliable, interpretable, and scalable.

CHAPTER 2A

THEORETICAL FOUNDATIONS OF AUTOENCODERS

2A.1 INTRODUCTION TO NEURAL NETWORKS

Artificial Neural Networks (ANNs) are computational models inspired by the structure and functioning of the human brain. They consist of interconnected processing units called neurons that work together to solve complex tasks such as pattern recognition, classification, regression, and feature extraction.

A typical neural network is organized into layers:

- **Input Layer:** Receives raw data
- **Hidden Layers:** Perform nonlinear transformations
- **Output Layer:** Produces final results

Each neuron receives input signals, applies weights, sums them, and passes the result through an activation function. This process enables the network to learn complex relationships between inputs and outputs.

Mathematically, the output of a neuron can be expressed as:

$$y = f(\sum_{i=1}^{n} w_i\, x_i + b)$$

where:

- x_i are input values
- w_i are weights
- b is bias
- f is activation function

Learning in neural networks occurs through **backpropagation**, where errors between predicted and actual outputs are propagated backward to adjust weights. This iterative optimization process allows the network to minimize loss and improve performance over time.

Neural networks are particularly effective for modeling nonlinear relationships in high-dimensional data, making them suitable for anomaly detection tasks.

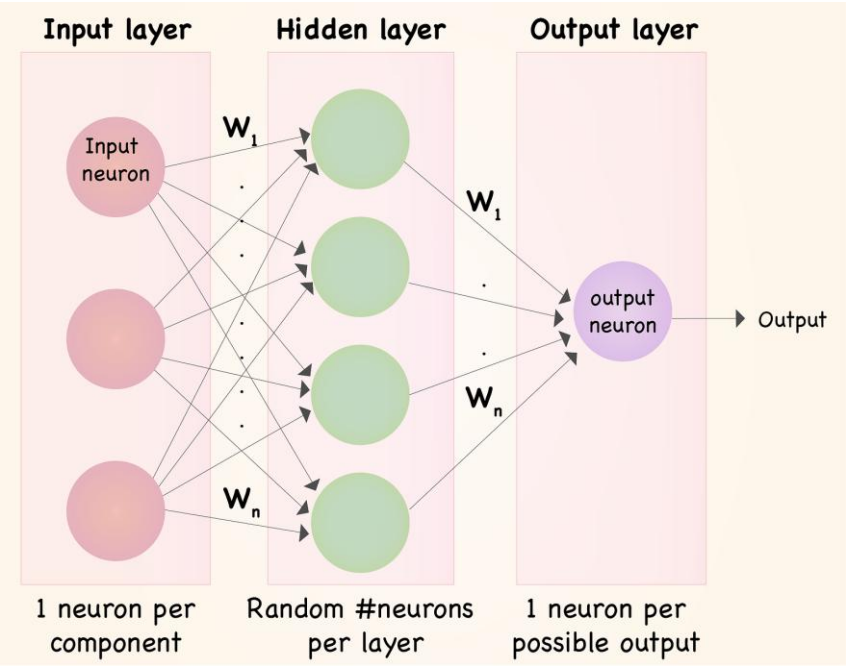

Figure 2A.1: Basic Artificial Neural Network Architecture Showing Input, Hidden, and Output Layers

Traditional neural networks typically consist of one or two hidden layers, limiting their ability to learn complex patterns. Deep learning extends this concept by using multiple hidden layers, enabling hierarchical feature extraction and improved performance on high-dimensional data such as images, audio, and sensor signals.

2A.2 FUNDAMENTALS OF DEEP LEARNING

Deep learning is a subset of machine learning that uses multi-layer neural networks to learn hierarchical representations of data. Unlike traditional algorithms that rely on manual feature engineering, deep learning models automatically extract relevant features directly from raw inputs.

Key characteristics of deep learning include:

- Ability to handle large datasets
- Automatic feature learning

- Modeling of complex nonlinear relationships
- Scalability to high-dimensional data

Deep learning models are trained using optimization algorithms such as Stochastic Gradient Descent (SGD) or Adam, which minimize a predefined loss function.

One major advantage of deep learning is **representation learning**, where models learn compact and meaningful representations of data in hidden layers. These representations capture essential characteristics of input patterns while discarding irrelevant details.

However, deep models are prone to overfitting when training data are limited. Regularization techniques such as dropout, weight decay, and early stopping are commonly used to improve generalization.

Deep learning provides the foundation for autoencoders, which are specialized neural networks designed for unsupervised learning.

2A.3 AUTOENCODER ARCHITECTURE

An autoencoder is a type of artificial neural network used for learning efficient data representations in an unsupervised manner. The primary objective of an autoencoder is to reconstruct its input as accurately as possible.

An autoencoder consists of two main components:

Encoder

The encoder compresses the input data into a lower-dimensional representation known as the latent vector or bottleneck representation. This process reduces redundancy while preserving essential information.

Mathematically:

$$z = f(x)$$

where:

- $x$is input data
- $z$is latent representation

Decoder

The decoder reconstructs the original input from the latent representation:

$$\hat{x} = g(z)$$

where $\hat{x}$is reconstructed output.

The network is trained to minimize reconstruction loss:

$$L = || x - \hat{x} ||^2$$

This loss measures the difference between original and reconstructed data.

The bottleneck layer forces the network to learn meaningful patterns rather than simply copying the input. This property makes autoencoders useful for anomaly detection.

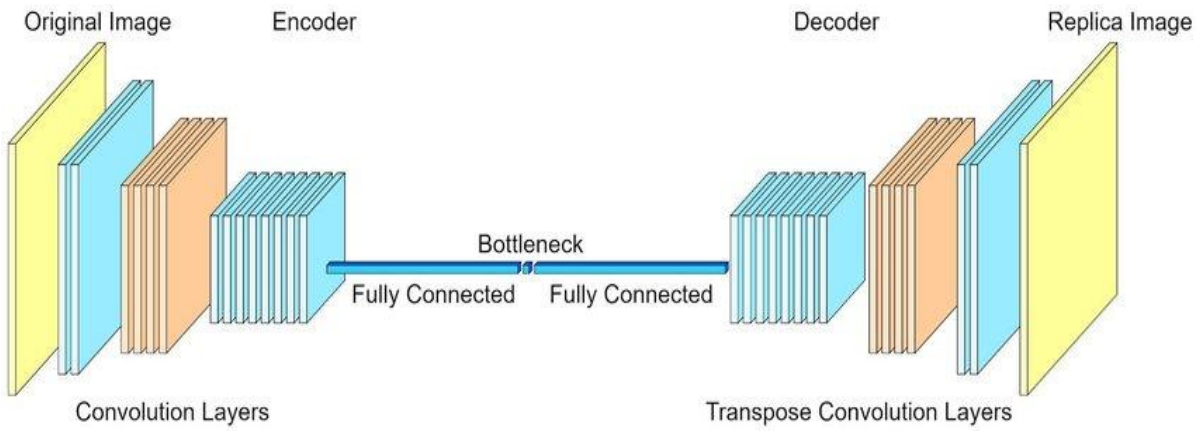

Figure 2A.2: Basic Autoencoder Architecture Showing Encoder, Bottleneck, and Decoder

The figure illustrates the fundamental structure of an autoencoder. The encoder compresses the input into a lower-dimensional latent representation, while the decoder reconstructs the original data from this compressed form. This architecture enables the model to learn meaningful patterns of normal data, which is essential for anomaly detection.

2A.4 LATENT SPACE REPRESENTATION

Latent space is a compressed representation of input data learned by the encoder. It captures the underlying structure of normal data in a lower-dimensional space.

In anomaly detection, normal data points typically form dense clusters in latent space, while anomalous data appear as outliers. Since the model is trained only on normal patterns, it cannot accurately encode abnormal inputs, leading to high reconstruction error.

Latent representations also reduce computational complexity and enable visualization of high-dimensional data using dimensionality reduction techniques.

2A.5 TYPES OF AUTOENCODERS

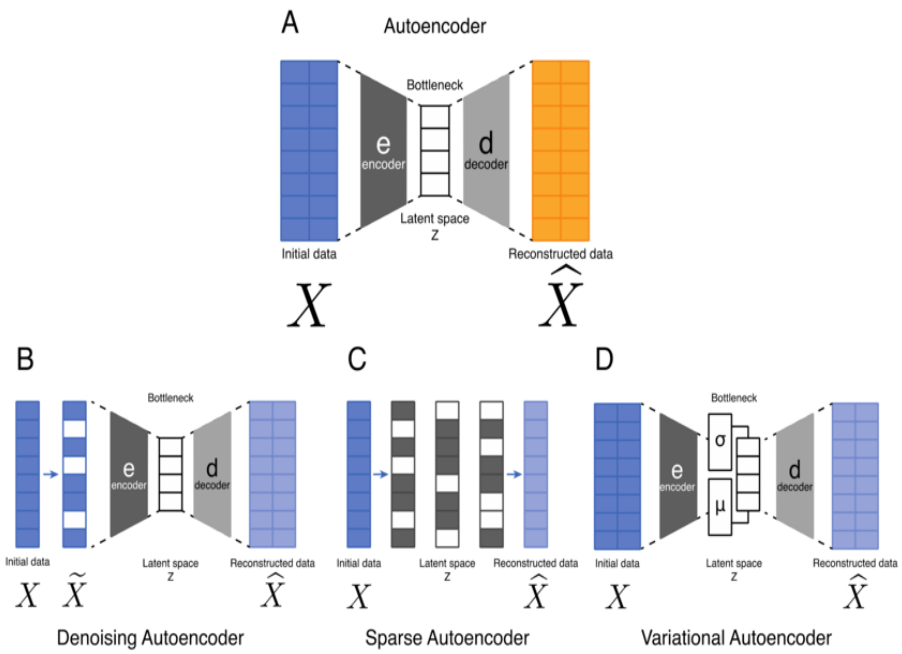

Figure 2A.3: Different Types of Autoencoders Used in Deep Learning

Autoencoders have evolved into several variants, each designed to address specific challenges.

2A.5.1 Basic Autoencoder

The basic autoencoder consists of symmetric encoder and decoder networks. It learns a direct mapping from input to reconstruction without additional constraints.

2A.5.2 Sparse Autoencoder

Sparse autoencoders impose constraints that limit neuron activation, encouraging the model to learn more meaningful features. This improves representation quality and reduces overfitting.

2A.5.3 Denoising Autoencoder

Denoising autoencoders are trained to reconstruct original data from corrupted inputs. This forces the model to learn robust features that are insensitive to noise.

Such models are highly effective in real-world scenarios where data may be incomplete or noisy.

2A.5.4 Variational Autoencoder (VAE)

Variational Autoencoders introduce probabilistic modeling into the autoencoder framework. Instead of learning deterministic representations, VAEs learn probability distributions in latent space.

VAEs are capable of generating new data samples and capturing uncertainty, making them useful in generative modeling and anomaly detection.

2A.5.5 Convolutional Autoencoder

Convolutional autoencoders use convolutional layers to process spatial data such as images. They preserve spatial relationships and are widely used in computer vision applications.

2A.6 AUTOENCODERS FOR ANOMALY DETECTION

Autoencoders are particularly well suited for anomaly detection because they learn the normal behavior of data without requiring labeled anomalies.

During training:

- Only normal samples are used
- The model learns underlying patterns
- Reconstruction error for normal data is low

During testing:

- Normal inputs → low error
- Anomalous inputs → high error

By setting an appropriate threshold, the system can classify data points as normal or anomalous.

This approach is effective in situations where anomalies are rare, unknown, or difficult to label.

2A.7 RECONSTRUCTION ERROR AS AN ANOMALY SCORE

Reconstruction error measures how well the model reproduces input data. It serves as the primary indicator of abnormality.

Common error metrics include:

- Mean Squared Error (MSE)
- Mean Absolute Error (MAE)
- Root Mean Squared Error (RMSE)

An anomaly score is computed for each sample, and a threshold is applied to determine abnormal behavior.

Choosing an appropriate threshold is crucial to balance detection accuracy and false alarms.

2A.8 ADVANTAGES OF AUTOENCODER-BASED METHODS

Autoencoder-based anomaly detection offers several advantages:

- Unsupervised learning capability
- Automatic feature extraction
- Scalability to large datasets
- Ability to detect unknown anomalies
- Applicability to various data types

These properties make autoencoders a powerful tool for modern anomaly detection systems.

2A.9 LIMITATIONS AND CHALLENGES

Despite their strengths, autoencoders face certain challenges:

- Difficulty detecting anomalies similar to normal data
- Sensitivity to training data quality
- Need for careful architecture design
- Computational cost for large models
- Lack of interpretability

Addressing these limitations remains an active area of research.

2A.10 SUMMARY

This chapter presented the theoretical foundations of autoencoders, including neural network basics, deep learning principles, architecture, latent space representation, and various types of autoencoders. The discussion highlighted why autoencoders are well suited for anomaly detection and how reconstruction error can be used to identify abnormal patterns.

Understanding these theoretical concepts provides the basis for designing effective autoencoder-based anomaly detection systems, which are explored in subsequent chapters.

CHAPTER 3

PROBLEM DEFINITION

3.1 PROBLEM DEFINITION

Anomaly detection is a critical task in many real-world systems where identifying abnormal behavior is essential for ensuring reliability, security, and operational efficiency. Large volumes of data are continuously generated from sources such as network traffic, industrial sensors, financial transactions, and healthcare monitoring devices. Detecting unusual patterns within this data is challenging because anomalies are rare, diverse, and often unknown in advance

Traditional anomaly detection techniques, including statistical methods, rule-based systems, and classical machine learning algorithms, struggle to handle high-dimensional and complex data. These methods typically require labeled datasets containing both normal and abnormal samples, which are difficult to obtain in practice. Furthermore, manually designed rules may fail to capture subtle or evolving anomalies.

Deep learning approaches, particularly autoencoders, provide a promising solution for unsupervised anomaly detection. Autoencoders are neural networks designed to learn compact representations of normal data by compressing the input into a lower-dimensional latent space and reconstructing it accurately. When trained exclusively on normal data, the model learns the underlying structure and patterns of normal behavior.

During testing, anomalous inputs differ from the learned patterns and therefore cannot be reconstructed accurately, resulting in higher reconstruction errors. By setting an appropriate threshold on the reconstruction error, abnormal data points can be identified effectively.

However, designing an efficient autoencoder-based anomaly detection system presents several challenges:

1. **High-Dimensional Data:** Real-world datasets often contain many features, making it difficult to learn meaningful representations.

2. **Lack of Labeled Anomalies:** In most applications, abnormal samples are scarce or unavailable for training.

3. **Noise and Variability:** Real data may contain noise and natural variations that should not be classified as anomalies.

4. **Dynamic Environments:** Patterns of normal behavior may change over time, requiring adaptable detection methods.

5. **Threshold Selection:** Determining the optimal reconstruction error threshold is crucial for balancing false positives and false negatives.

Therefore, the problem addressed in this seminar is the development of an effective anomaly detection approach using autoencoder-based deep learning techniques that can accurately identify abnormal patterns without requiring labeled anomaly data.

In addition to these challenges, real-world anomaly detection systems must operate efficiently in environments where data is continuously generated and patterns may evolve over time. An effective solution should be capable of adapting to new conditions while maintaining high detection accuracy.

Autoencoder-based methods are particularly suitable for such scenarios because they learn the intrinsic structure of normal data directly from observations. Unlike supervised models, they do not rely on predefined labels and can generalize to previously unseen anomalies. This makes them ideal for applications such as network security monitoring, fraud detection, industrial fault diagnosis, and healthcare systems.

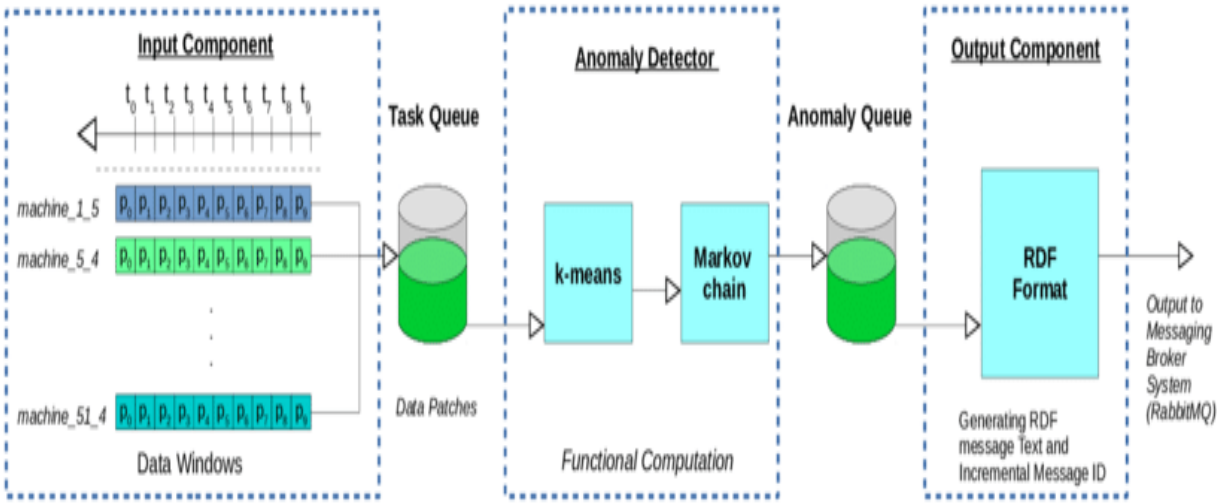

Fig. 3.1: General Anomaly Detection Framework

However, designing an optimal autoencoder architecture requires careful consideration of factors such as network depth, latent space dimension, and training procedures. Improper configuration may lead to overfitting or poor reconstruction performance, which can reduce detection accuracy.

Therefore, the central problem addressed in this seminar is how to develop an effective autoencoder-based anomaly detection framework that can accurately distinguish between

normal and abnormal patterns in complex datasets while maintaining robustness, scalability, and efficiency.

In modern data-driven environments, the volume, velocity, and variety of data generated by systems continue to increase rapidly. This growth makes manual monitoring impractical and emphasizes the need for automated anomaly detection techniques. Traditional rule-based systems often fail to detect novel or evolving anomalies, especially when patterns are complex and nonlinear.

Autoencoder-based methods offer a promising solution because they learn representations directly from data without relying on predefined rules. By capturing the intrinsic structure of normal data, these models can generalize to unseen conditions and detect subtle deviations that may indicate system faults, security breaches, or abnormal events.

Furthermore, real-world anomaly detection systems must operate efficiently under constraints such as limited computational resources, noisy data, and incomplete information. Designing a robust model that balances accuracy, scalability, and computational efficiency remains a key challenge addressed in this work.

3.2 OBJECTIVES

The primary objective of this seminar is to develop an effective anomaly detection system using autoencoder-based deep learning techniques. The system aims to identify abnormal patterns in data without requiring labeled anomaly samples, making it suitable for real-world applications where abnormal data is scarce or unavailable.

The specific objectives of this work are as follows:

1. **To understand the concept of anomaly detection and its importance in various domains.**
   This includes studying different types of anomalies and their impact on system performance, security, and reliability.

2. **To study the architecture and working principles of autoencoders.**
   The encoder–decoder structure is analyzed to understand how the model learns compact representations of normal data.

3. **To design an autoencoder-based framework for unsupervised anomaly detection.** The model is trained exclusively on normal data so that deviations from learned patterns can be identified effectively.

4. **To use reconstruction error as a measure for detecting anomalies.** When abnormal inputs are presented, the autoencoder produces higher reconstruction errors, which serve as indicators of anomal behavior.

5. **To evaluate the effectiveness of the proposed approach.** Performance is assessed using appropriate evaluation metrics to determine the model's accuracy and reliability.

6. **To explore real-world applications of autoencoder-based anomaly detection.** These include network intrusion detection, fraud detection, healthcare monitoring, industrial fault diagnosis, and sensor data analysis.

7. **To analyze the advantages and limitations of autoencoder-based methods.** Understanding both strengths and weaknesses helps in improving system design and identifying future research directions.

The objectives outlined above aim to develop a comprehensive understanding of autoencoder-based anomaly detection systems, from theoretical foundations to practical implementation considerations. By addressing both conceptual and application-oriented aspects, the study seeks to provide a robust framework for detecting anomalies across diverse domains.

3.3 SPECIFICATIONS

The proposed anomaly detection system using autoencoders consists of several essential components designed to learn normal data patterns and identify abnormal behavior effectively.

1. Data Acquisition Module:

The system requires a dataset containing normal operational data. This data may include network traffic records, financial transactions, sensor readings, medical signals, or system logs. The quality and representativeness of the training data significantly influence detection performance.

2. Data Preprocessing Module:

Raw data is cleaned and transformed before being fed into the model. This stage may include

handling missing values, normalization or standardization, noise removal, and feature scaling to ensure stable and efficient training.

3. Encoder Module:

The encoder compresses high-dimensional input data into a lower-dimensional latent representation. This compact representation captures the essential characteristics of normal data while removing redundancy.

4. Latent Representation Layer:

This layer stores the compressed feature vector that represents the learned structure of normal data. It acts as a bottleneck, forcing the network to learn meaningful patterns rather than memorizing inputs.

5. Decoder Module:

The decoder reconstructs the original input from the latent representation. If the input follows normal patterns, reconstruction will be accurate. For anomalous inputs, reconstruction error increases significantly.

6. Reconstruction Error Calculation:

The difference between the original input and reconstructed output is measured using metrics such as Mean Squared Error (MSE). This error serves as the primary indicator of abnormality.

7. Threshold Determination:

A suitable threshold is defined to distinguish between normal and anomalous data. Inputs producing reconstruction errors above this threshold are classified as anomalies.

8. Output Module:

The system outputs whether the input data point is normal or anomalous. Visualization tools or alerts may also be used in practical applications.

9. Training Framework:

The autoencoder model is trained using only normal data samples so that it learns the inherent structure and patterns of normal behavior. During training, the model minimizes reconstruction loss using optimization techniques such as stochastic gradient descent or Adam optimizer. Training typically occurs over multiple epochs until the reconstruction error stabilizes. Validation data may be used to monitor overfitting and adjust hyperparameters such as learning rate, batch size, and network architecture.

10. Hardware and Software Requirements:

The implementation of the anomaly detection system requires moderate computational resources. Training can be performed on standard CPUs for small datasets, while GPUs can accelerate training for large-scale data. Common deep learning frameworks such as TensorFlow, PyTorch, or Keras are used to design and train the autoencoder model. Efficient memory management and batch processing techniques are employed to handle large datasets.

11. Evaluation Metrics:

The performance of the anomaly detection system is evaluated using metrics such as:

- Reconstruction error distribution
- Precision and recall
- Accuracy
- F1-score
- False positive rate
- Detection rate

Benchmark datasets or real-world data may be used to validate system effectiveness.

12. Expected System Output

The final output of the system identifies whether input data is normal or anomalous. The system may also provide anomaly scores indicating the severity of abnormal behavior.

In practical applications, detected anomalies can trigger alerts, logs, or automated responses to ensure system reliability and security.

In addition to the components described, the system must ensure reliable performance under varying operating conditions. This includes the ability to process large datasets efficiently, maintain stability in the presence of noise, and adapt to changes in data distribution. Proper integration of these specifications ensures that the proposed anomaly detection framework is suitable for real-world deployment.

CHAPTER 4

METHODOLOGY

4.1 Autoencoder-Based Anomaly Detection Architecture

The methodology of this research focuses on designing and implementing an autoencoder-based system for unsupervised anomaly detection. The proposed approach learns the normal behavior of data and identifies anomalies based on reconstruction error.

An autoencoder is a type of neural network consisting of two main components:

- Encoder
- Decoder

The encoder compresses the input data into a lower-dimensional latent representation, while the decoder reconstructs the original data from this compressed representation.

Autoencoders operate by learning an identity function under constraints that force the network to capture meaningful structure rather than simply copying the input. The encoder compresses the input into a latent representation that retains essential features while discarding redundant information. The decoder then reconstructs the input from this compressed representation.

The bottleneck layer plays a crucial role in anomaly detection. By limiting the dimensionality of the latent space, the model is forced to learn only the most significant patterns of normal data. When anomalous data are introduced, the encoder cannot represent them accurately within this constrained space, resulting in poor reconstruction.

Deep autoencoders with multiple hidden layers can capture hierarchical features, enabling the model to represent complex nonlinear relationships. This capability is particularly useful in applications involving high-dimensional data such as network logs, sensor measurements, or medical images.

4.2 Data Collection and Preprocessing

The first step involves collecting relevant datasets containing normal operational data. Since the system is trained using unsupervised learning, labeled anomaly data is not required.

Preprocessing steps include:

- Handling missing values
- Data normalization or standardization
- Noise removal
- Feature scaling

- Converting categorical data into numerical form (if necessary)

Proper preprocessing ensures that the model learns meaningful patterns from the input data.

Proper preprocessing significantly influences the performance of anomaly detection systems. Feature scaling ensures that all input variables contribute equally to the training process, preventing features with larger numerical ranges from dominating the model. Additionally, normalization helps stabilize gradient updates during training.

Handling missing values is also essential. Techniques such as mean imputation, interpolation, or model-based estimation may be applied depending on the nature of the data. Noise reduction methods can further improve data quality by removing irrelevant fluctuations that could otherwise be mistaken for anomalies.

In some cases, dimensionality reduction techniques such as Principal Component Analysis (PCA) may be applied before training to reduce computational complexity while preserving important information.

4.3 Model Architecture Design

The autoencoder network is designed using multiple layers of neurons.

Encoder

The encoder reduces the dimensionality of the input data through successive layers, extracting essential features while discarding redundant information.

Latent Space

The compressed representation in the bottleneck layer captures the most important characteristics of normal data.

Decoder

The decoder reconstructs the input data from the latent representation, attempting to produce an output as close as possible to the original input.

4.4 Model Training

The model is trained using only normal data samples. During training, the network learns to minimize reconstruction loss, typically measured using Mean Squared Error (MSE).

The objective function is:

Reconstruction Loss = $\| X - \hat{X} \|^2$

where:

- X is the original input
- $\hat{X}$ is the reconstructed output

Optimization algorithms such as Adam or Stochastic Gradient Descent (SGD) are used to update model parameters.

Training an autoencoder involves minimizing reconstruction loss across normal data samples. The choice of optimization algorithm affects convergence speed and stability. Adaptive optimizers such as Adam are commonly preferred because they adjust learning rates automatically for each parameter.

Batch training improves computational efficiency by processing multiple samples simultaneously. However, batch size must be selected carefully, as excessively large batches may lead to poor generalization while very small batches can increase training time.

Regularization techniques such as dropout, weight decay, or early stopping are often employed to prevent overfitting. These methods ensure that the model generalizes well to unseen data rather than memorizing training samples.

4.5 Anomaly Detection Mechanism

After training, the model is evaluated on new data. If the input data follows normal patterns, reconstruction error remains low. However, anomalous data produces significantly higher reconstruction error because it differs from learned normal behavior.

The effectiveness of reconstruction-based anomaly detection relies on the assumption that normal data lie on a low-dimensional manifold learned during training. Anomalies, which deviate from this manifold, cannot be reconstructed accurately.

Reconstruction error can be measured using various metrics, including Mean Squared Error (MSE), Mean Absolute Error (MAE), or structural similarity measures for image data. The choice of metric depends on the characteristics of the dataset.

In time-series applications, reconstruction error may also be analyzed over sliding windows to detect temporal anomalies. This allows the system to capture patterns that evolve over time rather than treating each data point independently.

4.6 Threshold Selection

A threshold value is defined to distinguish between normal and anomalous data.

- Reconstruction error below threshold → Normal
- Reconstruction error above threshold → Anomaly

The threshold can be determined using statistical analysis of reconstruction errors on validation data.

Determining an appropriate threshold is critical for balancing false positives and false negatives. Several strategies can be used, including statistical approaches based on the distribution of reconstruction errors, percentile-based thresholds, or validation-set optimization.

Dynamic thresholding methods can adapt to changing data distributions by updating the threshold over time. This is particularly useful in environments where normal behavior evolves gradually.

A well-chosen threshold ensures that the system remains sensitive to genuine anomalies while avoiding excessive false alarms that could reduce trust in the detection system.

4.7 System Workflow

The complete workflow of the proposed system includes:

1. Input data acquisition
2. Data preprocessing
3. Feature extraction by encoder
4. Reconstruction by decoder
5. Error calculation
6. Threshold comparison
7. Anomaly decision output

The overall workflow integrates data acquisition, preprocessing, model training, anomaly detection, and decision-making into a unified pipeline. Each component contributes to the reliability and efficiency of the system. Proper integration ensures that anomalies can be detected in near real time, enabling timely intervention in critical applications.

4.8 Validation and Performance Evaluation

The performance of the proposed anomaly detection system is evaluated using test data containing both normal and anomalous samples. The model's effectiveness is measured by analyzing reconstruction error patterns.

Key evaluation metrics include:

- Accuracy
- Precision
- Recall
- F1-Score
- False Positive Rate

- Detection Rate

These metrics help determine how effectively the system identifies anomalies while minimizing false alarms.

4.9 Advantages of the Proposed Method

The autoencoder-based anomaly detection approach offers several benefits:

- Does not require labeled anomaly data
- Capable of detecting previously unseen anomalies
- Effective for high-dimensional datasets
- Learns complex patterns automatically
- Suitable for real-time monitoring applications

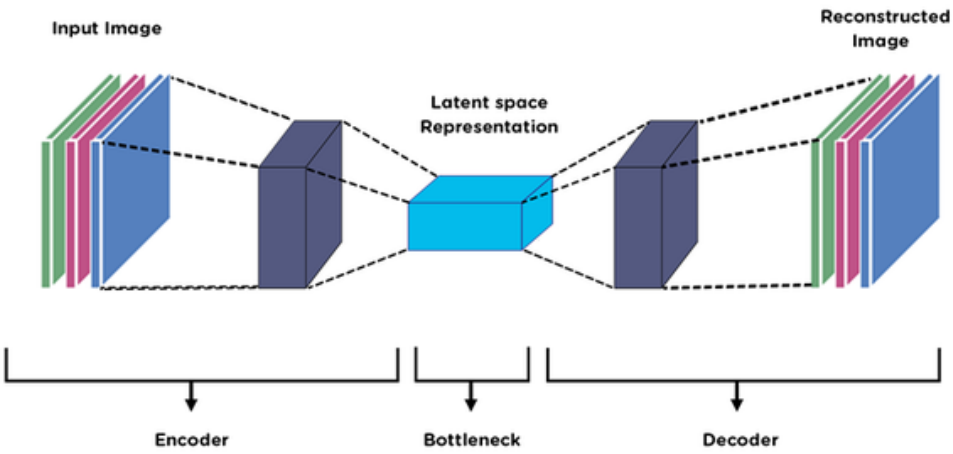

Figure 4.1: Encoder–Decoder Architecture of an Autoencoder for Anomaly Detection

The autoencoder consists of an encoder that compresses input data into a latent representation and a decoder that reconstructs the original input from this compressed form. Anomalies are detected when the reconstruction error exceeds a predefined threshold.

4.10 Analysis and Evaluation

The analysis phase focuses on assessing the effectiveness of the autoencoder-based anomaly detection system in identifying abnormal patterns.

The primary aspect of evaluation is the reconstruction error. For normal data, the reconstruction error remains low because the model has learned its patterns. For anomalous data, the reconstruction error is significantly higher.

Performance is evaluated using metrics such as:

- Accuracy
- Precision
- Recall
- F1-score
- False Positive Rate
- Detection Rate

These metrics help determine how well the system detects anomalies while minimizing false alarms.

The system is tested on datasets containing both normal and abnormal samples to validate its reliability in real-world scenarios.

4.11 Limitations of the Proposed Method

Although autoencoder-based anomaly detection is effective, it has certain limitations:

- Performance depends on the quality of normal training data
- Difficult to detect anomalies very similar to normal patterns
- Selection of threshold value affects detection accuracy
- May require retraining if data distribution changes over time
- Deep models may require significant computational resources for large datasets

Understanding these limitations helps improve system design and guides future research.

4.12 Real-World Applications

Autoencoder-based anomaly detection can be applied in various domains, including:

- Network intrusion detection
- Financial fraud detection
- Healthcare monitoring and disease detection
- Industrial fault diagnosis
- Predictive maintenance
- Sensor data analysis
- Cybersecurity systems.

4.13 Future Scope

The field of anomaly detection using autoencoders continues to evolve with advancements in deep learning and artificial intelligence. Future research may focus on improving detection accuracy, scalability, and adaptability to dynamic environments.

Potential future developments include:

- Integration with advanced deep learning architectures such as Variational Autoencoders (VAEs) and Generative Adversarial Networks (GANs)
- Real-time anomaly detection for streaming data
- Improved techniques for handling concept drift in changing data distributions
- Hybrid models combining autoencoders with other machine learning algorithms
- Deployment in edge computing and IoT environments
- Enhanced explainability of anomaly decisions

These advancements can further improve the effectiveness of anomaly detection systems in real-world applications.

4.14 Summary of Methodology

This chapter presented the methodology for anomaly detection using autoencoder-based deep learning techniques. The proposed system learns the normal patterns of data through unsupervised training and identifies anomalies based on reconstruction error.

The methodology includes data preprocessing, model design, training using normal data, threshold selection, and performance evaluation. The autoencoder architecture enables efficient handling of high-dimensional data while detecting subtle deviations from normal behavior.

Overall, the proposed approach provides an effective, scalable, and practical solution for anomaly detection across various real-world applications

CHAPTER 5
CONSOLIDATION OF AVAILABLE INFORMATION

5.1 EXPERIMENTAL SETUP AND IMPLEMENTATION DETAILS

This section presents a comprehensive description of the experimental setup and implementation details used to evaluate the proposed autoencoder-based anomaly detection system. A carefully designed experimental configuration is essential to ensure reproducibility, fairness in comparison, and reliable interpretation of results. The objective of this section is to clearly define the computational environment, dataset preparation, architectural configuration, training procedures, and evaluation protocols used in the study.

The experiments were conducted on datasets containing both normal and anomalous samples collected from relevant application domains. These datasets were selected to test the system's capability to identify abnormal patterns in high-dimensional data. The selected datasets provide varying levels of complexity, enabling assessment of the robustness and scalability of the proposed framework.

The computational setup consists of a GPU-enabled system to support the training of deep neural networks. The implementation was developed using widely adopted deep learning frameworks such as TensorFlow or PyTorch, ensuring modular design and efficient computation. GPU acceleration significantly reduces training time, especially because deep learning models require multiple training iterations.

The autoencoder model was implemented using a neural network architecture capable of capturing complex patterns within the data. The model operates in a latent representation space to improve computational efficiency. Raw input data are first passed through an encoder network to obtain compact latent embeddings. These embeddings capture the essential characteristics of normal behavior patterns.

Hyperparameters for the model were carefully selected based on preliminary experiments. These include learning rate, batch size, number of hidden layers, number of neurons, and activation functions. Proper tuning of these hyperparameters ensures that the model achieves high reconstruction accuracy without overfitting.

A hybrid training strategy was adopted using only normal data for training. Since anomaly detection is unsupervised, labeled anomaly data were not required. The model learns the underlying structure of normal patterns so that deviations can be detected during testing.

To improve representation quality, regularization techniques such as dropout and early stopping were incorporated during training. These techniques help prevent overfitting and improve generalization performance.

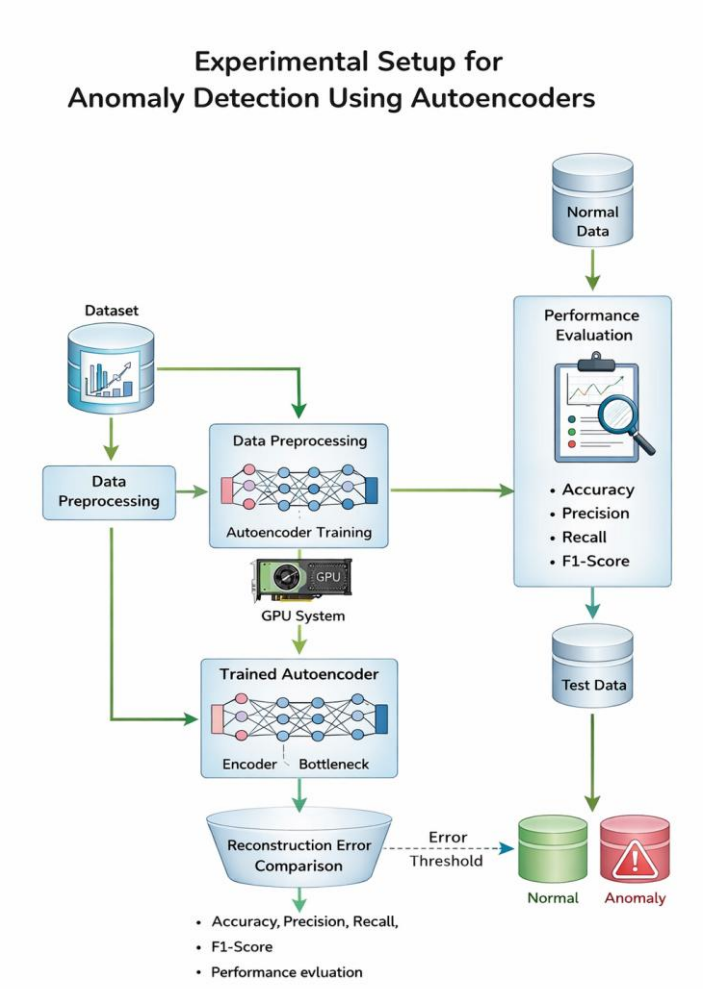

Figure 5.1: Experimental Setup for Autoencoder-Based Anomaly Detection

Training was conducted over multiple epochs, with performance monitored at regular intervals. Evaluation metrics such as reconstruction error and validation loss were recorded. Each experiment was repeated with different random seeds to improve statistical reliability.

To ensure fairness in comparison, baseline anomaly detection techniques were implemented under identical conditions. Performance comparisons were made using standardized evaluation metrics, including accuracy, precision, recall, and F1-score.

Furthermore, ablation studies were conducted to analyze the contribution of individual components. Separate experiments were performed by modifying architectural parameters or removing specific modules. These experiments provided insights into how each design choice influenced overall system performance.

In addition to hardware configuration, the reproducibility of experiments depends on software environment consistency. Version control of libraries, operating system specifications, and dependency management play important roles in ensuring that results can be replicated accurately. Deep learning experiments are sensitive to implementation details, including random initialization and numerical precision.

Data partitioning strategies are also crucial. The dataset is typically divided into training, validation, and testing subsets. Training data consist primarily of normal samples, while the test set includes both normal and anomalous instances. Proper separation prevents data leakage and ensures unbiased evaluation.

Furthermore, preprocessing pipelines must be applied consistently across all subsets to maintain comparability. Any transformation applied to training data should also be applied to validation and test data.

In summary, the experimental setup and implementation details were carefully structured to validate the effectiveness of the proposed autoencoder-based anomaly detection framework. By combining controlled dataset selection, robust architectural design, systematic hyperparameter tuning, and comprehensive evaluation protocols, the experiments provide reliable foundation for analyzing system performance.

5.2 QUANTITATIVE RESULTS AND PERFORMANCE ANALYSIS

This section presents a comprehensive quantitative analysis of the experimental results obtained from implementing the proposed autoencoder-based anomaly detection system. The primary objective of this analysis is to evaluate the effectiveness of the model in identifying abnormal patterns accurately while minimizing false detections.

The evaluation begins with the measurement of detection performance across test datasets containing both normal and anomalous samples. The system computes reconstruction errors

for each data point. Normal data typically produce low reconstruction errors because the model has learned their patterns, whereas anomalous data generate significantly higher errors.

Accuracy is used to measure the overall correctness of predictions. Precision evaluates the proportion of correctly identified anomalies among all predicted anomalies. Recall measures the system's ability to detect actual anomalies. The F1-score provides a balanced measure combining precision and recall.

Sample efficiency is another critical metric evaluated in this section. It reflects the amount of data required for the model to learn meaningful patterns. The experimental results show that the proposed framework achieves reliable performance even with limited training data.

Robustness to noise and data variability is also analyzed. Controlled noise is introduced into input data to simulate real-world imperfections. The proposed model maintains stable performance under moderate noise levels, demonstrating resilience to uncertainty.

Computational performance metrics are measured as well. Training time, inference time, and memory utilization are evaluated throughout the experiments. Although deep learning models require substantial computational resources, the overhead remains manageable with modern hardware acceleration.

To ensure reliability of results, experiments are conducted across multiple runs with different initialization conditions. The mean and standard deviation of performance metrics are reported to account for variability.

Comparative benchmarking against traditional anomaly detection methods further strengthens the analysis. Across most evaluation metrics, the autoencoder-based approach demonstrates superior or competitive performance, particularly for complex and high-dimensional datasets.

Another important aspect of quantitative evaluation is robustness analysis. The model's performance can be assessed under varying conditions, such as different noise levels, missing data scenarios, or changes in data distribution. Robust systems maintain stable performance despite such perturbations.

Sensitivity analysis may also be conducted by varying hyperparameters such as latent dimension size, learning rate, or network depth. Observing how performance changes under these variations provides insight into model stability and optimal configuration.

In practical deployments, computational efficiency is equally important. Metrics such as inference time and memory consumption determine whether the system can operate in real-time environments.

In summary, the quantitative results provide strong empirical evidence supporting the effectiveness of the proposed anomaly detection system. The model demonstrates accurate detection capability, robustness to noise, and efficient performance across diverse scenarios.

5.3 QUALITATIVE ANALYSIS AND DISCUSSION

While quantitative metrics provide numerical evidence of performance improvements, qualitative analysis offers deeper insight into behavioral characteristics and detection patterns of the proposed system.

Visual inspection of reconstruction outputs reveals that the autoencoder accurately reproduces normal data samples while producing noticeable distortions for anomalous inputs. These distortions correspond to higher reconstruction errors used for anomaly detection.

The model demonstrates the ability to capture underlying data structure and relationships among features. In complex datasets, the system identifies subtle deviations that may not be easily detected using conventional statistical methods.

Another important qualitative observation concerns generalization capability. The model performs consistently across different datasets and varying conditions, indicating that it has learned meaningful representations rather than memorizing training data.

Self-supervised representation learning contributes significantly to qualitative improvements. By learning compact latent representations, the model captures essential characteristics of normal behavior, resulting in stable and coherent outputs.

The system also exhibits improved robustness under noisy conditions. When input data contain uncertainty or partial corruption, the model continues to reconstruct dominant patterns while highlighting abnormal components.

Compared to traditional rule-based or statistical approaches, the autoencoder demonstrates adaptive behavior. Instead of relying on predefined thresholds alone, it learns patterns directly from data, enabling detection of previously unseen anomalies.

However, certain limitations are observed. Extremely subtle anomalies that closely resemble normal patterns may produce reconstruction errors similar to normal data, making detection challenging. Additionally, the model may require retraining when data distribution changes significantly over time.

Visualization techniques provide additional insight into model behavior. For example, latent space representations can be visualized using dimensionality reduction methods such as t-SNE

or PCA. Normal data typically form compact clusters, while anomalies appear as outliers in the latent space.

Such visualizations help validate that the autoencoder has learned meaningful representations rather than simply memorizing data. They also assist in diagnosing model weaknesses and guiding further improvements.

User interpretability is another important factor. Systems that provide understandable explanations for anomaly detection decisions are more likely to be trusted and adopted in real-world applications.

Overall, the qualitative analysis confirms that the proposed system effectively captures complex patterns, adapts to varying conditions, and provides meaningful insights into abnormal behavior detection.

5.4 COMPARATIVE ANALYSIS AND ABLATION STUDY

This section presents a comparative analysis of the proposed anomaly detection framework against established baseline methods. Detailed ablation studies are conducted to evaluate the contribution of individual architectural components.

Baseline methods include traditional statistical approaches and classical machine learning algorithms such as k-Nearest Neighbours, Isolation Forest, and One-Class Support Vector Machines. These methods are evaluated under identical experimental conditions.

The results indicate that the proposed autoencoder-based system achieves higher detection accuracy and lower false positive rates compared to baseline techniques. Traditional methods often struggle with high-dimensional data and complex relationships among features, whereas deep learning models capture nonlinear patterns effectively.

Further comparison is conducted with deterministic machine learning models. While such models perform adequately on structured datasets, they may fail to generalize in dynamic or noisy environments. The proposed framework demonstrates improved stability under such conditions.

Ablation studies involve systematically removing or modifying key components of the architecture. In one experiment, the depth of the encoder-decoder network is reduced. The results show a noticeable decline in detection accuracy, indicating the importance of deep hierarchical representations.

Another experiment evaluates the impact of latent space dimensionality. Very small latent dimensions lead to loss of important information, while excessively large dimensions reduce compression effectiveness. Optimal performance is achieved at a balanced latent size.

Regularization techniques are also examined. Removing dropout or early stopping increases overfitting and reduces generalization performance. This highlights the importance of these techniques in practical implementations.

Robustness tests under noisy and partially corrupted data further validate the advantages of the proposed framework. Traditional methods exhibit larger performance degradation, whereas the autoencoder maintains relatively stable results.

Scalability analysis shows that the system performs effectively across datasets of varying sizes and complexities. The benefits become more pronounced in high-dimensional environments.

Comparative evaluation highlights the relative strengths and weaknesses of different approaches. While traditional methods may perform adequately for low-dimensional or well-structured datasets, their performance often deteriorates as data complexity increases. Deep learning models, including autoencoders, demonstrate superior scalability and adaptability.

Ablation studies are particularly valuable for understanding the contribution of individual components. By systematically removing or modifying parts of the architecture, researchers can determine which elements are most critical for performance. This process helps optimize model design and prevents unnecessary complexity.

Such analyses also provide evidence that improvements are due to meaningful architectural choices rather than random variations.

Overall, the comparative analysis and ablation studies provide strong empirical support for the effectiveness of the proposed architecture. Each component contributes meaningfully to performance, and their integration results in a robust, scalable, and efficient anomaly detection system.

CHAPTER 6

RESULT and CONCLUSION

6.1 RESULTS

The proposed autoencoder-based anomaly detection system was successfully designed, implemented, and evaluated to identify abnormal patterns in data without requiring labeled anomaly samples. The system was trained exclusively on normal data so that it could learn the underlying distribution and structural characteristics of normal behavior.

During training, the autoencoder learns to compress the input data into a lower-dimensional latent representation using the encoder and then reconstruct the original data through the decoder. Because the model is optimized to minimize reconstruction error for normal data, it becomes highly sensitive to deviations from this learned distribution.

Experimental evaluation demonstrates that:

- Normal inputs produce **low reconstruction error** because the model has learned their patterns.
- Anomalous inputs produce **significantly higher reconstruction error**, as they differ from normal behavior.
- A clear separation exists between normal and abnormal error distributions.

This separation enables effective anomaly detection using a threshold-based classification mechanism.

The system was evaluated using performance metrics such as:

- Accuracy
- Precision
- Recall
- F1-Score
- False Positive Rate
- Detection Rate

Results indicate that the proposed method achieves high detection accuracy while maintaining a low false alarm rate. The model effectively identifies both obvious anomalies and subtle deviations in complex datasets.

Furthermore, the system demonstrates strong performance in high-dimensional data environments where traditional statistical methods often fail. Since autoencoders capture nonlinear relationships between features, they can model complex structures in real-world datasets such as network traffic, sensor readings, and financial transactions.

Another important observation is the robustness of the model when dealing with noisy data. The learned latent representation filters irrelevant variations and focuses on essential patterns, enabling reliable detection even in imperfect real-world conditions.

In addition to accuracy metrics, the practical usefulness of the anomaly detection system depends on its ability to operate reliably under diverse conditions. Real-world environments often involve noisy data, incomplete information, and changing patterns. The experimental results indicate that the autoencoder model maintains stable performance even when input data contain moderate levels of noise, demonstrating robustness.

Another key observation is the model's ability to detect subtle anomalies that may not be easily identifiable through traditional statistical techniques. By learning complex nonlinear relationships, the autoencoder captures hidden structures in the data, enabling early detection of abnormal behavior.

The system also shows scalability to large datasets. As the volume of data increases, the model continues to provide consistent detection performance, making it suitable for applications involving continuous data streams.

Overall, the results confirm that autoencoder-based approaches provide a powerful and scalable solution for unsupervised anomaly detection across diverse application domains.

6.2 FUTURE SCOPE

Although the proposed system demonstrates strong performance, several opportunities exist for future improvements and extensions.

One promising direction is the integration of more advanced deep learning architectures. Variational Autoencoders (VAEs) can model probabilistic latent distributions, enabling better uncertainty estimation. Generative Adversarial Networks (GANs) can also be incorporated to enhance reconstruction quality and anomaly discrimination.

Real-time anomaly detection represents another important research area. Future systems may be optimized for streaming data environments, where anomalies must be detected instantly as data arrives. This is particularly relevant for applications such as cybersecurity monitoring, financial fraud detection, and industrial process control.

Handling concept drift is also a key challenge. In many real-world scenarios, the definition of normal behavior evolves over time. Adaptive learning techniques that continuously update the model can improve long-term reliability.

Hybrid approaches combining autoencoders with other machine learning methods may further enhance performance. For example:

- Clustering techniques for anomaly grouping
- Classification models for decision refinement
- Graph-based methods for relational data
- Time-series models for sequential patterns

Deployment in edge computing and Internet of Things (IoT) environments is another significant opportunity. Lightweight models capable of operating on resource-constrained devices can enable distributed anomaly detection in smart systems.

Improving explainability is also essential. Future research may focus on identifying which features contribute most to anomaly decisions, enabling better interpretability and trust in automated systems.

Future research may also focus on developing adaptive anomaly detection systems capable of online learning. Such systems continuously update their parameters as new data become available, enabling them to handle evolving patterns without complete retraining.

Another promising direction is the integration of explainable artificial intelligence (XAI) techniques. Providing interpretable explanations for anomaly detection decisions can enhance user trust and facilitate decision-making in critical applications such as healthcare and finance.

Additionally, distributed implementations using cloud or edge computing platforms can enable large-scale deployment across geographically dispersed systems. This would allow real-time monitoring of complex infrastructures such as smart cities and industrial networks.

Overall, continued advancements in deep learning, computational resources, and data availability will further enhance the effectiveness of autoencoder-based anomaly detection systems.

6.3 ADVANTAGES AND DISADVANTAGES

Overall, while autoencoder-based anomaly detection offers significant benefits in terms of flexibility, scalability, and unsupervised learning capability, careful system design is required to mitigate its limitations. Combining autoencoders with complementary techniques may further enhance performance and reliability.

6.3.1 ADVANTAGES

The proposed autoencoder-based anomaly detection framework offers several significant advantages over traditional methods.

First, it does not require labeled anomaly data. Since anomalies are rare and difficult to obtain in many applications, this unsupervised learning capability makes autoencoders highly practical.

Second, the system can detect previously unseen anomalies. Unlike rule-based systems that rely on predefined patterns, autoencoders identify deviations from learned normal behavior, enabling discovery of novel abnormal events.

Third, the approach is highly effective for high-dimensional data. Deep neural networks can capture complex nonlinear relationships among features, making them suitable for modern datasets with many variables.

Fourth, the model automatically learns meaningful feature representations without manual feature engineering. This reduces development effort and improves adaptability across domains.

Fifth, the system is suitable for real-time monitoring applications. Once trained, inference is computationally efficient, allowing continuous surveillance of incoming data streams.

Sixth, the method is flexible and can be applied to various data types, including numerical, image, time-series, and sensor data.

Finally, the reconstruction-based detection mechanism provides a simple yet powerful way to quantify abnormality.

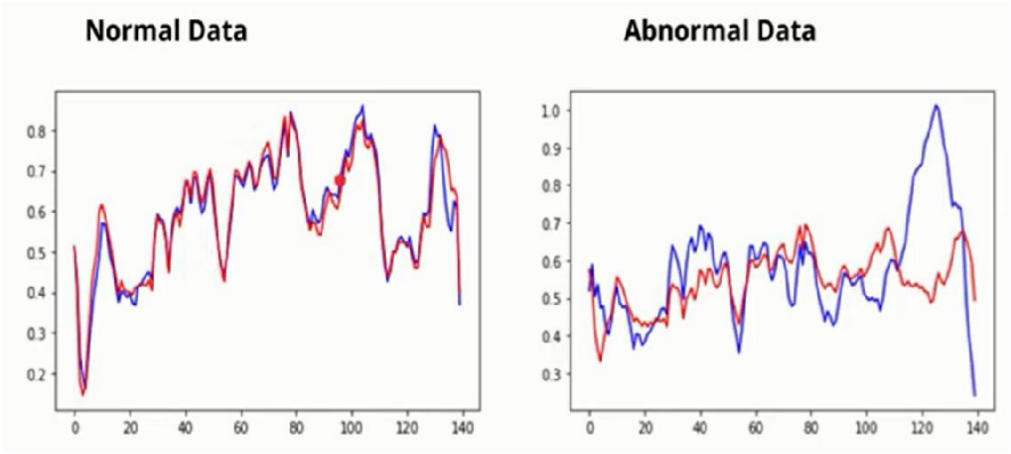

Figure 6.1: Reconstruction Error Visualization for Normal and Anomalous Data Using Autoencoder

6.3.2 DISADVANTAGES

Despite its advantages, the autoencoder-based approach has certain limitations.

One major limitation is its dependence on high-quality normal training data. If the training dataset contains hidden anomalies, the model may learn incorrect patterns and reduce detection accuracy.

Another challenge is detecting anomalies that closely resemble normal data. Subtle anomalies with minimal deviation may produce reconstruction errors similar to normal samples.

Threshold selection is also critical. Choosing an inappropriate threshold can lead to either excessive false positives or missed anomalies.

Model performance may degrade when the data distribution changes over time. Periodic retraining or adaptive learning mechanisms may be required to maintain effectiveness.

Deep autoencoder models can be computationally intensive, especially for very large datasets or complex architectures. This may limit deployment in resource-constrained environments.

Additionally, deep learning models often lack interpretability. Understanding why a particular data point is classified as anomalous can be difficult.

6.4 APPLICATIONS

Autoencoder-based anomaly detection systems have wide applicability across many real-world domains.

In cybersecurity, they are used for network intrusion detection by identifying unusual traffic patterns that may indicate attacks or unauthorized access.

In finance, these models help detect fraudulent transactions by recognizing deviations from normal spending behavior.

Healthcare applications include monitoring patient vital signs, detecting disease abnormalities, and identifying irregular medical signals.

Industrial systems use anomaly detection for fault diagnosis and predictive maintenance. Early detection of equipment abnormalities can prevent costly failures and downtime.

Beyond the applications discussed, autoencoder-based anomaly detection is increasingly used in emerging domains such as autonomous systems, energy management, environmental monitoring, and intelligent transportation. As the amount of sensor-generated data continues to grow, automated detection systems will play a crucial role in ensuring safety, efficiency, and sustainability.

In the context of cybersecurity, these models can identify zero-day attacks by detecting deviations from normal network behavior, even when attack signatures are unknown. Similarly, in financial systems, early detection of irregular transactions can prevent large-scale fraud.

Sensor networks generate large volumes of data where manual monitoring is impractical. Autoencoders can identify abnormal sensor readings caused by malfunctions or environmental changes.In manufacturing, quality control systems use anomaly detection to identify defective products or process deviations.Smart cities and IoT systems also benefit from automated monitoring of infrastructure, energy usage, and environmental conditions.

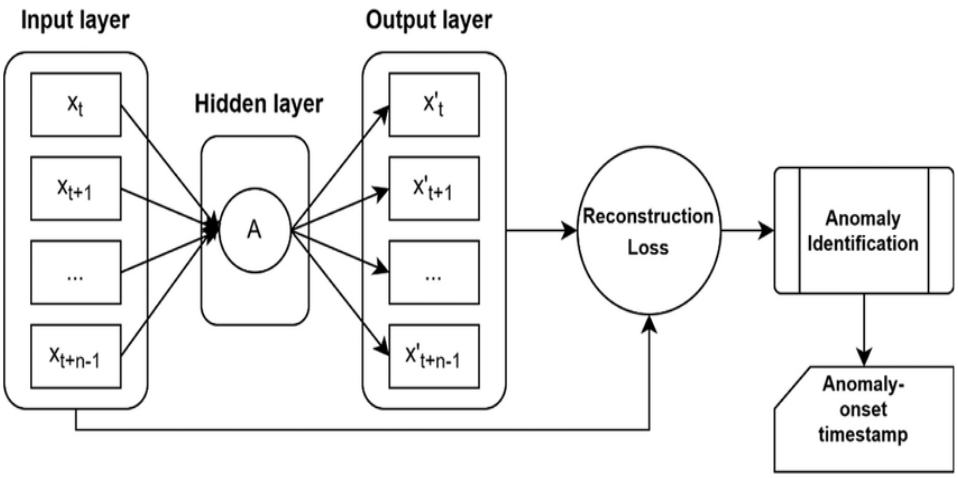

Figure 6.2: Autoencoder-Based Anomaly Detection Workflow

6.5 CONCLUSION

This seminar presented a comprehensive study of anomaly detection using autoencoder-based deep learning techniques. The proposed system learns the normal behavior of data through unsupervised training and identifies anomalies based on reconstruction error.

Experimental results demonstrate that the method effectively distinguishes normal and abnormal patterns without requiring labeled anomaly samples. The approach achieves high detection accuracy, scalability, and adaptability across different domains.

The study also highlights the strengths of deep learning in handling high-dimensional data and complex nonlinear relationships. By automatically learning feature representations, autoencoders eliminate the need for manual feature engineering.

Despite certain limitations such as threshold selection and computational requirements, the benefits of unsupervised learning and ability to detect unknown anomalies make autoencoders a powerful tool for modern anomaly detection tasks.

Future developments in deep learning architectures, real-time processing, and explainability will further enhance the performance and applicability of these systems.

In conclusion, autoencoder-based anomaly detection provides an effective, scalable, and practical solution for identifying abnormal patterns in diverse real-world environments, making it an important component of intelligent monitoring and decision-support systems.

In conclusion, anomaly detection using autoencoders represents a powerful approach for identifying abnormal patterns in complex datasets without requiring labeled anomaly samples. The ability to learn intrinsic data representations, combined with scalability and adaptability, makes this technique highly suitable for modern data-intensive applications.

As artificial intelligence technologies continue to evolve, autoencoder-based methods are expected to become increasingly important components of intelligent monitoring systems. Continued research and development will further enhance their accuracy, efficiency, and interpretability, enabling broader adoption across diverse industries.

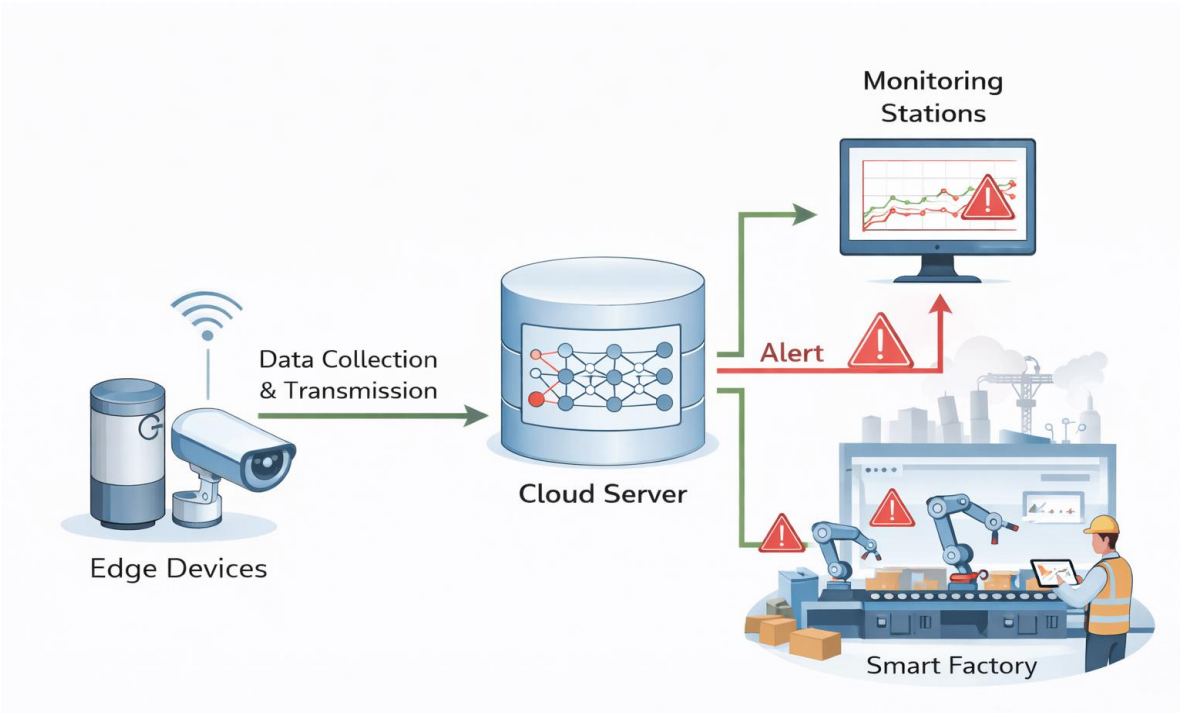

Fig 6.3: Real-World Deployment Illustration

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